

TENTATIVE RULING

State of California *ex rel.* Sofia Alvarado Ortega
v.
RAMCO Enterprises, L.P.
25CV004765

Defendant's Motion to Compel Arbitration and to Stay Proceedings

Hearing Date: July 17, 2026 (continued from May 15, 2026)

On May 15, 2026, this Court continued the hearing on the motion of Defendant RAMCO Enterprises, L.P. ("Defendant") to compel Plaintiff Sofia Alvarado Ortega ("Plaintiff") to arbitrate her claims and stay proceedings. This is because the Court ordered the parties to file and serve supplemental briefs addressing (1) whether Plaintiff's operative Complaint and the Labor and Workforce Development Agency ("LWDA") notice contain an individual claim under the California Private Attorneys General Act ("PAGA"); (2) whether Plaintiff may proceed on a non-individual or "headless" PAGA theory following the 2024 amendment to Labor Code¹ section 2699; (3) how the holding in *Prime Healthcare Management, Inc. v. Superior Court* (2025) 117 Cal.App.5th 127, affects the analysis of whether Plaintiff is an "aggrieved employee" under the latest iteration of section 2699; and (4) whether *Prime Healthcare* affects the enforceability of the parties' delegation provision.

Upon considering all of the papers and arguments, Defendant's motion is **DENIED**. Plaintiff's Request for Judicial Notice ("RJN") is **GRANTED**.

Legal Standard.

A party to an arbitration agreement can seek an order requiring the parties to resolve a dispute through arbitration as specified in the agreement. [Code Civ. Proc. § 1281.2.] A written agreement to submit a dispute to arbitration is valid, enforceable, and irrevocable under standard contract principles. There is a strong public policy supporting the enforcement of arbitration agreements. [Code Civ. Proc. § 1281; *Madden v. Kaiser Foundation Hospital* (1976) 17 Cal.3d 699, 706.]

The party moving to compel arbitration bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence. [*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.] This burden can be satisfied "by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature." [*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 543-544.] If this burden is satisfied, the burden then shifts to the party opposing arbitration to prove, by a preponderance of the evidence, any fact necessary to their defense against enforcement of the agreement. [*Engalla*, 15 Cal.4th at 972.]

¹ Hereinafter, all undesignated statutory references are to the Labor Code.

Discussion.

1. Plaintiff's RJN.

Plaintiff's request for the Court to take judicial notice of certain legislative materials [Plaintiff's RJN Exhs. 3-6] and the complaints in *Rodriguez* [*id.* at Exh. 7] and *Balderas* [*id.* at Exh. 8] is **GRANTED**. [Evid. Code §§ 453, 452, subds. (b)-(d).]

2. Existence of an Arbitration Agreement.

There is no dispute that a signed arbitration agreement exists between the parties. Exhibit A to the Declaration of Jose Hernandez, supporting Defendant's motion, is a Spanish and English version of the Arbitration Agreement ("Agreement"). On April 30, 2024, Plaintiff printed and signed her name on both versions of the Agreement. [Agreement, Exh. A to Hernandez Decl. at 5.] Thus, Defendant has satisfied its burden of proving the existence of a valid arbitration agreement between the parties. [*Engalla*, 15 Cal.4th at 972; Code Civ. Proc. § 1281.2.]

The Agreement generally requires the parties to submit disputes related to Plaintiff's employment to arbitration:

Claims Covered by the Agreement. Employee and Company both agree that, except as otherwise provided in this Agreement, any claim, dispute, and/ or controversy... arising from, related to, or having any relationship or connection whatsoever with an Employee seeking employment with, employment by, or other association with or termination by the Company . . . shall be submitted to and determined exclusively by binding arbitration.

[Agreement, Exh. A to Hernandez Decl. at ¶ 1.]

Also, the Agreement exempts from arbitration any non-individual PAGA claims. A "non-individual PAGA claim is the component of a PAGA claim that seeks civil penalties based on Labor Code violations sustained by current and former employees other than the plaintiff." [*Rodriguez v. Packers Sanitation Services LTD., LLC* (2025) 109 Cal.App.5th 69, 75.] Paragraph Eight of the Agreement states that the "Parties agree not to bring to arbitration any claims for civil penalties under PAGA for Labor Code violations alleged to have been suffered by other allegedly aggrieved employees, and will instead only arbitrate PAGA claims, if any, for Labor Code violations suffered by [Plaintiff]." [Agreement, Exh. A to Hernandez Decl. at ¶ 8.] In other words, the parties will only arbitrate an "individual PAGA claim," which is the "component of a PAGA claim that seeks civil penalties based on Labor Code violations sustained by the plaintiff." [*Rodriguez*, 109 Cal.App.5th at 75.]

Finally, the Agreement specifies that the "arbitrator shall have exclusive authority to resolve any dispute relating to the interpretation, applicability, enforceability or formation of this Agreement, including but not limited to any claim that all or any part of this Agreement is void or voidable." [Agreement, Exh. A to Hernandez Decl. at ¶ 6, subd. (c).]

3. Existence of a Defense Against Enforcing the Agreement.

Plaintiff argues that Defendant seeks to force arbitration of a claim that does not exist. According to Plaintiff, the Complaint contains only non-individual PAGA claims, and he repeatedly states that she is proceeding solely as a private attorney general on behalf of the State of California, not in her personal capacity. If she is correct, then Plaintiff's non-individual PAGA claims are not subject to the Agreement's arbitration requirement. [Agreement, Exh. A to Hernandez Decl. at ¶ 8.] Defendant disagrees and claims that the Complaint makes plain that Plaintiff is asserting an individual PAGA claim. If Defendant is correct, then the existence of Plaintiff's individual PAGA claim compels her to go to arbitration. [*Ibid.*]

Plaintiff repeatedly characterizes the Complaint as asserting only non-individual PAGA claims. The Complaint states Plaintiff "brings suit for Plaintiff's representative claims only" [Complaint at 2:1-6], alleges she brings "a representative action for Plaintiff's representative claims only" [*id.* at ¶ 1], and expressly states she "is not suing in her individual capacity" but proceeding solely under PAGA on behalf of the State of California [*id.* at ¶ 5].

These express disclaimers, however, are not the only allegations in the Complaint. The Complaint also repeatedly alleges Plaintiff personally suffered each of the Labor Code violations forming the basis of the representative claims. For example, Paragraph 1 alleges Plaintiff brings this action "on behalf of herself and certain other current and former non-exempt employees" and specifically alleges Plaintiff "is an aggrieved employee against whom the alleged violations were committed." Throughout the factual allegations, Defendant is alleged to have denied meal periods, denied rest periods, failed to pay minimum wages, required off-the-clock work, issued inaccurate wage statements, and committed other Labor Code violations against "Plaintiff and Aggrieved Employees." [Complaint at ¶¶ 15-31.] Plaintiff likewise alleges that "the Labor Code violations alleged above were committed against [Plaintiff]" and that Plaintiff is therefore an "aggrieved employee" within the meaning of section 2699, subd. (c). [*Id.* at ¶ 36.]

Accordingly, Plaintiff's characterization that the Complaint contains no individual allegations is not completely accurate. Instead, the Complaint appears to repeatedly allege that Defendant committed each of the challenged Labor Code violations against Plaintiff herself. Those allegations weaken Plaintiff's position that the pleading presents no individualized issues whatsoever.

Similarly, Defendant correctly observes that Plaintiff's LWDA notice mirrors these allegations by repeatedly referring to "Ms. Ortega and Aggrieved Employees" and alleging Plaintiff personally suffered the Labor Code violations in the Complaint. Therefore, there is no material factual inconsistency between the Complaint and the LWDA notice.

While her Complaint and LWDA notice are not a model of clarity, Plaintiff has expressly disavowed through her counsel's statements at the hearing on May 15, 2026, and in her supplemental brief filed on July 6, 2026, that she is not alleging or pursuing any individual PAGA claim. [See, e.g., Plaintiff's Supp. Brief at 1:-5, 1:12-2:5.] This Court accepts that representation and, like the appellate court in *Rodriguez*, recognizes that Plaintiff "will be

precluded from taking a contrary position in the future” under the doctrine of judicial estoppel and law of the case. [*Rodriguez*, 109 Cal.App.5th at 77 (“And to the extent the complaint could have excised the individual component of Parra’s PAGA claims with greater clarity, we are not concerned Parra will attempt to rely on it in the future to obtain civil penalties based on violations he personally sustained. Parra has represented to this court that in his complaint he has forgone individual PAGA relief, and we have accepted that representation. As a result, he will be precluded from taking a contrary position in the future. In addition, our conclusion that the complaint does not assert individual PAGA claims will be law of the case.”)] (internal quotes and citations omitted).]

Therefore, Defendant has not met its burden of showing that the Agreement encompasses the dispute at issue because it exempts from arbitration any non-individual PAGA claims. [Agreement, Exh. A to Hernandez Decl. at ¶ 8.] And Plaintiff has disavowed any individual PAGA claim. Therefore, the motion is **DENIED** because there is no individual PAGA claim for this Court to order arbitration, and Plaintiff’s representative claims are not within the scope of the Arbitration Agreement. [*Rodriguez*, 109 Cal.App.5th at 80.]

In its discretion, the Court declines to follow *Leeper v. Shipt* (2024) 107 Cal.App.5th 1001 because it did not examine the allegations in the plaintiff’s complaint. Instead, *Leeper* based its decision on the wording of section 2699, subdivision (a), thus concluding that, regardless of the allegations in the plaintiff’s complaint, all PAGA claims inherently include an individual PAGA claim. [*Id.* at 1009-1010.] *Leeper* overlooks that a trial court’s job when reviewing a motion to compel arbitration is to determine if the complaint includes claims subject to arbitration, not to evaluate the claims’ level of detail. [*Rodriguez*, 109 Cal.App.5th at 80 (“[o]n a motion to compel arbitration, the [trial] court must determine whether the plaintiff has asserted claims subject to the arbitration agreement.”).] Further, since *Leeper*, other published appellate opinions have refused to follow it. [See, e.g., *Rodriguez*, 109 Cal.App.5th at 78-80; *CRST Expedited, Inc. v. Superior Court* (2025) 112 Cal.App.5th 872, 897, fn. 8, review granted Sept. 17, 2025, S292005; *Galarsa v. Dolgen Cal., LLC* (2025) 115 Cal.App.5th 1, 10-15, review granted Dec. 17, 2025, S293545.] Although the California Supreme Court granted review, *Leeper*, *CRST*, and *Galarsa* may be cited for their persuasive value and to enable this Court to exercise its discretion under *Auto Equity Sales, Inc. v. Superior Court* (1962) 57 Cal.2d 450, 456, to select between conflicting appellate decisions.

The remaining question, then, is who decides whether Plaintiff’s individualized allegations satisfy the amended PAGA standing requirements. On that issue, *Prime Healthcare* is instructive. Although *Prime Healthcare* arose from a different procedural posture, it recognizes that whether a plaintiff qualifies as an “aggrieved employee” under PAGA is a threshold judicial determination. [*Prime Healthcare*, 117 Cal.App.5th at 141 (“the determination of whether individual claims are subject to arbitration requires a judicial determination, and is not subject to a determination by the arbitrator.”).] Neither party has provided the Court with any authority that rejected the holding in *Prime Healthcare*. Under the doctrine of *stare decisis*, the Court must follow *Prime Healthcare*. [*Auto Equity Sales*, 57 Cal.2d at 455.] Therefore, this Court rejects Defendant’s argument that section 2699, subdivision (c), as amended, requires that the threshold question of whether Plaintiff “personally suffered” each of the violations alleged in her Complaint is subject to arbitration.

Conclusion.

For the foregoing reasons, Defendants' motion to compel is **DENIED**. Plaintiff shall prepare the Proposed Order consistent with this Tentative Ruling.